

Borrower: Jade Lotus Nail Spa, Inc.
1885 Tully Road, Suite 120, San Jose, CA 95122
Guarantor: Mai-Linh Tran (personal guaranty)

Loan Summary

Loan number XXXXXX7744	Original principal amount \$40,000.00
Interest rate (fixed) 6.50% per annum	Original term 60 months
Monthly payment (principal & interest) \$782.65	Origination date July 1, 2023
Maturity date June 1, 2028	Principal balance, January 1, 2025 \$29,329.41
Principal balance, December 31, 2025 \$21,616.95	

This year-end statement summarizes activity on your commercial term loan for the period January 1 through December 31, 2025, and includes the full amortization schedule, payment history, and the year-end interest paid for tax purposes. The loan is guaranteed by the individual named above.

2025 Loan Activity Summary

Principal balance, January 1, 2025	29,329.41
Total payments made during 2025 (12 payments)	9,391.80
— Applied to interest	1,679.34
— Applied to principal	7,712.46
Principal balance, December 31, 2025	21,616.95
Current portion due within 12 months (2026)	8,228.99
Long-term portion	13,387.96

Year-End Interest Statement (for tax reporting)

Interest paid in 2025 \$1,679.34	Principal paid in 2025 \$7,712.46
Late charges / other fees paid in 2025 \$0.00	Principal balance at year end \$21,616.95

Interest of 1,679.34 was paid on this commercial loan during 2025 and may be deductible as a business expense; consult your tax advisor. This loan is a business obligation of the borrower corporation.

2025 Payment History

Payment date	Payment	Interest	Principal	Remaining balance
2025-01-12	782.65	158.87	623.78	28,705.63
2025-02-12	782.65	155.49	627.16	28,078.47
2025-03-12	782.65	152.09	630.56	27,447.91
2025-04-12	782.65	148.68	633.97	26,813.94
2025-05-12	782.65	145.24	637.41	26,176.53
2025-06-12	782.65	141.79	640.86	25,535.67
2025-07-12	782.65	138.32	644.33	24,891.34
2025-08-12	782.65	134.83	647.82	24,243.52
2025-09-12	782.65	131.32	651.33	23,592.19
2025-10-12	782.65	127.79	654.86	22,937.33
2025-11-12	782.65	124.24	658.41	22,278.92
2025-12-12	782.65	120.68	661.97	21,616.95
2025 totals	9,391.80	1,679.34	7,712.46	21,616.95

Payments are due on the 1st of each month with a grace period; the autopay debit posts on or about the 12th. All 2025 payments were made as scheduled with no late charges.

Monthly Loan Statements — 2025

The monthly billing statements issued during 2025 are summarized below.

Statement — January 2025 Payment due date: 2025-01-01 Beginning principal: 29,329.41 Payment received: 782.65 Interest: 158.87 Principal: 623.78 Late charges: 0.00 Ending principal: 28,705.63	Statement — February 2025 Payment due date: 2025-02-01 Beginning principal: 28,705.63 Payment received: 782.65 Interest: 155.49 Principal: 627.16 Late charges: 0.00 Ending principal: 28,078.47
Statement — March 2025 Payment due date: 2025-03-01 Beginning principal: 28,078.47 Payment received: 782.65 Interest: 152.09 Principal: 630.56 Late charges: 0.00 Ending principal: 27,447.91	Statement — April 2025 Payment due date: 2025-04-01 Beginning principal: 27,447.91 Payment received: 782.65 Interest: 148.68 Principal: 633.97 Late charges: 0.00 Ending principal: 26,813.94
Statement — May 2025 Payment due date: 2025-05-01 Beginning principal: 26,813.94 Payment received: 782.65 Interest: 145.24 Principal: 637.41 Late charges: 0.00 Ending principal: 26,176.53	Statement — June 2025 Payment due date: 2025-06-01 Beginning principal: 26,176.53 Payment received: 782.65 Interest: 141.79 Principal: 640.86 Late charges: 0.00 Ending principal: 25,535.67
Statement — July 2025 Payment due date: 2025-07-01 Beginning principal: 25,535.67 Payment received: 782.65 Interest: 138.32 Principal: 644.33 Late charges: 0.00 Ending principal: 24,891.34	Statement — August 2025 Payment due date: 2025-08-01 Beginning principal: 24,891.34 Payment received: 782.65 Interest: 134.83 Principal: 647.82 Late charges: 0.00 Ending principal: 24,243.52
Statement — September 2025 Payment due date: 2025-09-01 Beginning principal: 24,243.52 Payment received: 782.65 Interest: 131.32 Principal: 651.33 Late charges: 0.00 Ending principal: 23,592.19	Statement — October 2025 Payment due date: 2025-10-01 Beginning principal: 23,592.19 Payment received: 782.65 Interest: 127.79 Principal: 654.86 Late charges: 0.00 Ending principal: 22,937.33
Statement — November 2025 Payment due date: 2025-11-01 Beginning principal: 22,937.33 Payment received: 782.65 Interest: 124.24 Principal: 658.41 Late charges: 0.00 Ending principal: 22,278.92	Statement — December 2025 Payment due date: 2025-12-01 Beginning principal: 22,278.92 Payment received: 782.65 Interest: 120.68 Principal: 661.97 Late charges: 0.00 Ending principal: 21,616.95

Each monthly statement was mailed or made available electronically before the payment due date. All payments were received and applied as shown; no late charges were assessed during 2025.

Loan Amortization Schedule (60 Months)

No.	Scheduled date	Payment	Interest	Principal	Ending balance
1	2023-07-12	782.65	216.67	565.98	39,434.02
2	2023-08-12	782.65	213.60	569.05	38,864.97
3	2023-09-12	782.65	210.52	572.13	38,292.84
4	2023-10-12	782.65	207.42	575.23	37,717.61
5	2023-11-12	782.65	204.30	578.35	37,139.26
6	2023-12-12	782.65	201.17	581.48	36,557.78
7	2024-01-12	782.65	198.02	584.63	35,973.15
8	2024-02-12	782.65	194.85	587.80	35,385.35
9	2024-03-12	782.65	191.67	590.98	34,794.37
10	2024-04-12	782.65	188.47	594.18	34,200.19
11	2024-05-12	782.65	185.25	597.40	33,602.79
12	2024-06-12	782.65	182.02	600.63	33,002.16
13	2024-07-12	782.65	178.76	603.89	32,398.27
14	2024-08-12	782.65	175.49	607.16	31,791.11
15	2024-09-12	782.65	172.20	610.45	31,180.66
16	2024-10-12	782.65	168.90	613.75	30,566.91
17	2024-11-12	782.65	165.57	617.08	29,949.83
18	2024-12-12	782.65	162.23	620.42	29,329.41
19	2025-01-12	782.65	158.87	623.78	28,705.63
20	2025-02-12	782.65	155.49	627.16	28,078.47
21	2025-03-12	782.65	152.09	630.56	27,447.91
22	2025-04-12	782.65	148.68	633.97	26,813.94
23	2025-05-12	782.65	145.24	637.41	26,176.53
24	2025-06-12	782.65	141.79	640.86	25,535.67
25	2025-07-12	782.65	138.32	644.33	24,891.34
26	2025-08-12	782.65	134.83	647.82	24,243.52
27	2025-09-12	782.65	131.32	651.33	23,592.19
28	2025-10-12	782.65	127.79	654.86	22,937.33
29	2025-11-12	782.65	124.24	658.41	22,278.92
30	2025-12-12	782.65	120.68	661.97	21,616.95
31	2026-01-12	782.65	117.09	665.56	20,951.39
32	2026-02-12	782.65	113.49	669.16	20,282.23
33	2026-03-12	782.65	109.86	672.79	19,609.44
34	2026-04-12	782.65	106.22	676.43	18,933.01
35	2026-05-12	782.65	102.55	680.10	18,252.91
36	2026-06-12	782.65	98.87	683.78	17,569.13
37	2026-07-12	782.65	95.17	687.48	16,881.65
38	2026-08-12	782.65	91.44	691.21	16,190.44
39	2026-09-12	782.65	87.70	694.95	15,495.49
40	2026-10-12	782.65	83.93	698.72	14,796.77
41	2026-11-12	782.65	80.15	702.50	14,094.27
42	2026-12-12	782.65	76.34	706.31	13,387.96
43	2027-01-12	782.65	72.52	710.13	12,677.83
44	2027-02-12	782.65	68.67	713.98	11,963.85
45	2027-03-12	782.65	64.80	717.85	11,246.00
46	2027-04-12	782.65	60.92	721.73	10,524.27
47	2027-05-12	782.65	57.01	725.64	9,798.63
48	2027-06-12	782.65	53.08	729.57	9,069.06
49	2027-07-12	782.65	49.12	733.53	8,335.53
50	2027-08-12	782.65	45.15	737.50	7,598.03
51	2027-09-12	782.65	41.16	741.49	6,856.54

No.	Scheduled date	Payment	Interest	Principal	Ending balance
52	2027-10-12	782.65	37.14	745.51	6,111.03
53	2027-11-12	782.65	33.10	749.55	5,361.48
54	2027-12-12	782.65	29.04	753.61	4,607.87
55	2028-01-12	782.65	24.96	757.69	3,850.18
56	2028-02-12	782.65	20.86	761.79	3,088.39
57	2028-03-12	782.65	16.73	765.92	2,322.47
58	2028-04-12	782.65	12.58	770.07	1,552.40
59	2028-05-12	782.65	8.41	774.24	778.16
60	2028-06-12	782.38	4.22	778.16	0.00

The schedule reflects the original amortization at origination. Actual interest and principal may vary slightly due to payment timing. The shaded rows above for January–December 2025 correspond to the current statement year. Payments 1–18 (July 2023 – December 2024) have been made; payments 19–30 are the 2025 year.

Cumulative Amortization Detail

For each scheduled payment, the cumulative interest and cumulative principal paid since origination.

No.	Date	Interest	Cum. interest	Principal	Cum. principal	Balance
1	2023-07-12	216.67	216.67	565.98	565.98	39,434.02
2	2023-08-12	213.60	430.27	569.05	1,135.03	38,864.97
3	2023-09-12	210.52	640.79	572.13	1,707.16	38,292.84
4	2023-10-12	207.42	848.21	575.23	2,282.39	37,717.61
5	2023-11-12	204.30	1,052.51	578.35	2,860.74	37,139.26
6	2023-12-12	201.17	1,253.68	581.48	3,442.22	36,557.78
7	2024-01-12	198.02	1,451.70	584.63	4,026.85	35,973.15
8	2024-02-12	194.85	1,646.55	587.80	4,614.65	35,385.35
9	2024-03-12	191.67	1,838.22	590.98	5,205.63	34,794.37
10	2024-04-12	188.47	2,026.69	594.18	5,799.81	34,200.19
11	2024-05-12	185.25	2,211.94	597.40	6,397.21	33,602.79
12	2024-06-12	182.02	2,393.96	600.63	6,997.84	33,002.16
13	2024-07-12	178.76	2,572.72	603.89	7,601.73	32,398.27
14	2024-08-12	175.49	2,748.21	607.16	8,208.89	31,791.11
15	2024-09-12	172.20	2,920.41	610.45	8,819.34	31,180.66
16	2024-10-12	168.90	3,089.31	613.75	9,433.09	30,566.91
17	2024-11-12	165.57	3,254.88	617.08	10,050.17	29,949.83
18	2024-12-12	162.23	3,417.11	620.42	10,670.59	29,329.41
19	2025-01-12	158.87	3,575.98	623.78	11,294.37	28,705.63
20	2025-02-12	155.49	3,731.47	627.16	11,921.53	28,078.47
21	2025-03-12	152.09	3,883.56	630.56	12,552.09	27,447.91
22	2025-04-12	148.68	4,032.24	633.97	13,186.06	26,813.94
23	2025-05-12	145.24	4,177.48	637.41	13,823.47	26,176.53
24	2025-06-12	141.79	4,319.27	640.86	14,464.33	25,535.67
25	2025-07-12	138.32	4,457.59	644.33	15,108.66	24,891.34
26	2025-08-12	134.83	4,592.42	647.82	15,756.48	24,243.52
27	2025-09-12	131.32	4,723.74	651.33	16,407.81	23,592.19
28	2025-10-12	127.79	4,851.53	654.86	17,062.67	22,937.33
29	2025-11-12	124.24	4,975.77	658.41	17,721.08	22,278.92
30	2025-12-12	120.68	5,096.45	661.97	18,383.05	21,616.95
31	2026-01-12	117.09	5,213.54	665.56	19,048.61	20,951.39
32	2026-02-12	113.49	5,327.03	669.16	19,717.77	20,282.23
33	2026-03-12	109.86	5,436.89	672.79	20,390.56	19,609.44
34	2026-04-12	106.22	5,543.11	676.43	21,066.99	18,933.01
35	2026-05-12	102.55	5,645.66	680.10	21,747.09	18,252.91
36	2026-06-12	98.87	5,744.53	683.78	22,430.87	17,569.13
37	2026-07-12	95.17	5,839.70	687.48	23,118.35	16,881.65
38	2026-08-12	91.44	5,931.14	691.21	23,809.56	16,190.44
39	2026-09-12	87.70	6,018.84	694.95	24,504.51	15,495.49
40	2026-10-12	83.93	6,102.77	698.72	25,203.23	14,796.77
41	2026-11-12	80.15	6,182.92	702.50	25,905.73	14,094.27
42	2026-12-12	76.34	6,259.26	706.31	26,612.04	13,387.96
43	2027-01-12	72.52	6,331.78	710.13	27,322.17	12,677.83
44	2027-02-12	68.67	6,400.45	713.98	28,036.15	11,963.85
45	2027-03-12	64.80	6,465.25	717.85	28,754.00	11,246.00
46	2027-04-12	60.92	6,526.17	721.73	29,475.73	10,524.27
47	2027-05-12	57.01	6,583.18	725.64	30,201.37	9,798.63
48	2027-06-12	53.08	6,636.26	729.57	30,930.94	9,069.06
49	2027-07-12	49.12	6,685.38	733.53	31,664.47	8,335.53
50	2027-08-12	45.15	6,730.53	737.50	32,401.97	7,598.03
51	2027-09-12	41.16	6,771.69	741.49	33,143.46	6,856.54
52	2027-10-12	37.14	6,808.83	745.51	33,888.97	6,111.03
53	2027-11-12	33.10	6,841.93	749.55	34,638.52	5,361.48

No.	Date	Interest	Cum. interest	Principal	Cum. principal	Balance
54	2027-12-12	29.04	6,870.97	753.61	35,392.13	4,607.87
55	2028-01-12	24.96	6,895.93	757.69	36,149.82	3,850.18
56	2028-02-12	20.86	6,916.79	761.79	36,911.61	3,088.39
57	2028-03-12	16.73	6,933.52	765.92	37,677.53	2,322.47
58	2028-04-12	12.58	6,946.10	770.07	38,447.60	1,552.40
59	2028-05-12	8.41	6,954.51	774.24	39,221.84	778.16
60	2028-06-12	4.22	6,958.73	778.16	40,000.00	0.00

Total interest over the life of the loan is 6,958.73; total principal repaid is 40,000.00, which equals the original principal amount.

Payment History Since Origination

No.	Date	Status	Payment	Interest	Principal	Balance
1	2023-07-12	Paid	782.65	216.67	565.98	39,434.02
2	2023-08-12	Paid	782.65	213.60	569.05	38,864.97
3	2023-09-12	Paid	782.65	210.52	572.13	38,292.84
4	2023-10-12	Paid	782.65	207.42	575.23	37,717.61
5	2023-11-12	Paid	782.65	204.30	578.35	37,139.26
6	2023-12-12	Paid	782.65	201.17	581.48	36,557.78
7	2024-01-12	Paid	782.65	198.02	584.63	35,973.15
8	2024-02-12	Paid	782.65	194.85	587.80	35,385.35
9	2024-03-12	Paid	782.65	191.67	590.98	34,794.37
10	2024-04-12	Paid	782.65	188.47	594.18	34,200.19
11	2024-05-12	Paid	782.65	185.25	597.40	33,602.79
12	2024-06-12	Paid	782.65	182.02	600.63	33,002.16
13	2024-07-12	Paid	782.65	178.76	603.89	32,398.27
14	2024-08-12	Paid	782.65	175.49	607.16	31,791.11
15	2024-09-12	Paid	782.65	172.20	610.45	31,180.66
16	2024-10-12	Paid	782.65	168.90	613.75	30,566.91
17	2024-11-12	Paid	782.65	165.57	617.08	29,949.83
18	2024-12-12	Paid	782.65	162.23	620.42	29,329.41
19	2025-01-12	Paid	782.65	158.87	623.78	28,705.63
20	2025-02-12	Paid	782.65	155.49	627.16	28,078.47
21	2025-03-12	Paid	782.65	152.09	630.56	27,447.91
22	2025-04-12	Paid	782.65	148.68	633.97	26,813.94
23	2025-05-12	Paid	782.65	145.24	637.41	26,176.53
24	2025-06-12	Paid	782.65	141.79	640.86	25,535.67
25	2025-07-12	Paid	782.65	138.32	644.33	24,891.34
26	2025-08-12	Paid	782.65	134.83	647.82	24,243.52
27	2025-09-12	Paid	782.65	131.32	651.33	23,592.19
28	2025-10-12	Paid	782.65	127.79	654.86	22,937.33
29	2025-11-12	Paid	782.65	124.24	658.41	22,278.92
30	2025-12-12	Paid	782.65	120.68	661.97	21,616.95

All 30 payments due from origination through December 31, 2025 were paid. Payments 31 through 60 (January 2026 through June 2028) remain scheduled.

Cumulative Interest and Principal by Calendar Year

Calendar year	Interest	Principal	Year-end balance
2023 (actual)	1,253.68	3,442.22	36,557.78
2024 (actual)	2,163.43	7,228.37	29,329.41
2025 (actual)	1,679.34	7,712.46	21,616.95
2026 (projected)	1,162.81	8,228.99	13,387.96
2027 (projected)	611.71	8,780.09	4,607.87
2028 (projected)	87.76	4,607.87	0.00
Loan total	6,958.73	40,000.00	0.00

Amounts for 2023 through 2025 reflect payments actually made; amounts for 2026 through 2028 are projected from the original amortization schedule and will vary with actual payment timing.

Interest Paid by Year (for borrower's tax records)

Interest paid in 2023 (partial year, 6 payments)	1,253.68
Interest paid in 2024 (12 payments)	2,163.43
Interest paid in 2025 (12 payments)	1,679.34
Cumulative interest paid through 12/31/2025	5,096.45

Commercial Term Loan Agreement — Material Terms

1. **BORROWER AND LENDER.** This Commercial Term Loan Agreement is between Jade Lotus Nail Spa, Inc., a California corporation ("Borrower"), and Pacific Crest Community Bank ("Lender").
2. **LOAN AMOUNT AND PURPOSE.** Lender has made a term loan to Borrower in the original principal amount of \$40,000.00 for the purpose of financing salon equipment and leasehold improvements.
3. **INTEREST RATE.** The unpaid principal balance bears interest at a fixed rate of 6.50% per annum, computed on the basis of actual days elapsed over a 360-day year.
4. **REPAYMENT.** Borrower shall repay the loan in 60 consecutive equal monthly installments of \$782.65 each, due on the first day of each month beginning August 1, 2023, with a final maturity of June 1, 2028. Each payment is applied first to accrued interest and then to principal.
5. **PREPAYMENT.** Borrower may prepay the loan in whole or in part at any time without premium or penalty. Partial prepayments are applied to principal and do not change the due date of subsequent installments.
6. **LATE CHARGE.** A late charge of 5% of the payment, or \$25.00 if greater, may be assessed on any installment more than ten (10) days past due.
7. **SECURITY.** The loan is secured by a first lien on the equipment and fixtures financed and is further supported by the personal guaranty described below.
8. **DEFAULT.** Events of default include failure to pay when due, breach of covenant, and the insolvency of Borrower. Upon default, Lender may declare the entire unpaid balance immediately due and payable.
9. **GOVERNING LAW.** This Agreement is governed by the laws of the State of California.

Commercial Term Loan Agreement — Additional Provisions

10. **AFFIRMATIVE COVENANTS.** Borrower shall: (a) maintain its corporate existence and good standing in California; (b) pay all taxes and governmental charges when due; (c) maintain proper books and records; and (d) permit Lender to inspect its records on reasonable notice.
11. **FINANCIAL REPORTING.** Borrower shall furnish to Lender, within 120 days after the end of each fiscal year, financial statements prepared on a consistent basis, and such other financial information as Lender may reasonably request.
12. **INSURANCE.** Borrower shall maintain property insurance on the financed equipment for its full replacement value and commercial general liability insurance, naming Lender as loss payee and additional insured as its interest may appear.
13. **NEGATIVE COVENANTS.** Without Lender's prior written consent, Borrower shall not sell or encumber the financed collateral outside the ordinary course of business, or merge or consolidate with another entity.
14. **ASSIGNMENT.** Lender may sell, assign, or transfer this loan and its rights hereunder; Borrower may not assign its obligations without Lender's prior written consent.
15. **NOTICES.** All notices shall be in writing and delivered to the addresses set forth in this Agreement, or to such other address as a party may designate in writing.
16. **EXPENSES.** Borrower shall reimburse Lender for reasonable costs of collection and enforcement, including reasonable attorneys' fees, incurred after default.
17. **ENTIRE AGREEMENT.** This Agreement, together with the promissory note and the guaranty, constitutes the entire agreement between the parties with respect to the loan and supersedes all prior negotiations.
18. **SEVERABILITY.** If any provision of this Agreement is held invalid, the remaining provisions shall continue in full force and effect.

Continuing Personal Guaranty

GUARANTOR. For value received, and to induce Pacific Crest Community Bank ("Lender") to extend the commercial term loan described above to Jade Lotus Nail Spa, Inc. ("Borrower"), the undersigned, Mai-Linh Tran ("Guarantor"), unconditionally and personally guarantees the full and prompt payment and performance of all obligations of Borrower under the loan.

NATURE OF GUARANTY. This is a continuing guaranty of payment and not merely of collection. Lender may proceed directly against Guarantor without first proceeding against Borrower or any collateral.

AMOUNT GUARANTEED. The guaranty covers the entire indebtedness, including unpaid principal, accrued interest, late charges, and costs of collection, up to the full outstanding balance of the loan from time to time.

WAIVERS. Guarantor waives notice of acceptance of this guaranty, notice of default, presentment, demand, and protest, and consents to extensions, modifications, and renewals of the loan without notice.

CONTINUING OBLIGATION. This guaranty remains in effect until the loan is paid in full. The death, dissolution, or change in financial condition of Guarantor does not terminate the guaranty as to obligations then outstanding.

FINANCIAL INFORMATION. Guarantor agrees to provide Lender with current personal financial statements upon request while the loan remains outstanding.

GOVERNING LAW. This guaranty is governed by the laws of the State of California.

Guarantor: Mai-Linh Tran · Date: June 24, 2023 · The guaranty was executed at loan origination and remains in effect. As of December 31, 2025 the guaranteed outstanding balance was 21,616.95.

Collateral and Equipment Financed

The loan is secured by a first-priority lien on the following equipment and fixtures financed with the loan proceeds, as described in the security agreement and the UCC-1 financing statement filed with the California Secretary of State.

Item	Location	Estimated original cost
6 pedicure spa chairs	1885 Tully Road	18,200.00
8 manicure stations and tables	1885 Tully Road / 2402 Story Road	9,400.00
Ventilation and exhaust upgrade	2402 Story Road	6,300.00
Leasehold improvements — reception build-out	1190 McLaughlin Avenue	4,100.00
Point-of-sale terminals and tablets (3)	All locations	2,000.00
Total equipment financed		40,000.00

UCC-1 financing statement filing number on record with the lender. The collateral description is for identification purposes; the lien attaches to the financed equipment and proceeds as set forth in the security agreement.

Loan Servicing and Borrower Notices

Servicing. Your loan is serviced by Pacific Crest Community Bank, Commercial Loan Servicing, P.O. Box 4400, San Jose, CA 95150. Direct all payments and inquiries to the servicer at (800) 555-0188. You will be notified in writing at least 15 days before the effective date of any transfer of servicing.

Error Resolution and Information Requests. If you believe there is an error relating to your loan, or if you need information about the servicing of your loan, write to the address above. Include your name, loan number, and a description of the error or the information requested. We will acknowledge your notice within 5 business days and respond within 30 business days.

Automatic Payments. Monthly payments are drafted automatically from the borrower's operating account on or about the 12th of each month. To change or cancel autopay, notify the servicer at least 3 business days before the scheduled draft date.

Credit Reporting. We may report information about your account to credit bureaus. Late payments, missed payments, or other defaults on your account may be reflected in the borrower's and guarantor's credit reports.

Privacy. We collect and share information about the borrower and guarantor as described in our privacy notice. A copy is available upon request.

Electronic Records and Signatures. The borrower and guarantor have consented to the use of electronic records and signatures in connection with this loan. Electronic copies of loan documents have the same legal effect as originals.

Equal Credit Opportunity. The federal Equal Credit Opportunity Act prohibits creditors from discriminating against credit applicants on prohibited bases. The federal agency that administers compliance with this law for this creditor is the Federal Deposit Insurance Corporation.

Military Lending and Servicemembers. If the borrower or guarantor is a servicemember or dependent covered by the Servicemembers Civil Relief Act, certain protections, including interest-rate limits, may apply. Contact the servicer to request applicable benefits.

Financial Hardship Assistance. If the borrower experiences a financial hardship affecting the ability to make payments, contact the servicer as early as possible. The servicer may offer options such as a temporary payment arrangement or modification, subject to eligibility and approval.

Language Access. Servicing assistance is available in additional languages upon request. Contact the servicer to request interpretation or translated information about your loan.

Complaint Resolution. If you have a complaint that cannot be resolved with the servicer, you may contact the borrower's state financial regulator or the appropriate federal agency. The servicer will provide contact information upon request.

Truth-in-Lending Disclosure (at origination)

Annual Percentage Rate	Finance Charge	Amount Financed	Total of Payments
6.50%	6,959.00	40,000.00	46,959.00

The Annual Percentage Rate is the cost of credit as a yearly rate. The Finance Charge is the dollar amount the credit will cost over the life of the loan, assuming all payments are made as scheduled. The Amount Financed is the amount of credit provided. The Total of Payments is the amount paid after making all scheduled payments.

Schedule of Fees

Late charge (per occurrence)	Greater of 5% of payment or \$25.00
Returned payment fee	\$25.00
Loan modification fee	\$150.00
Payoff statement (expedited)	\$25.00

Glossary

Principal	The amount borrowed that remains unpaid; interest accrues on this balance.
Interest	The cost of borrowing, charged at the loan's fixed annual rate on the unpaid principal.
Amortization	The process of paying off the loan through scheduled payments of principal and interest.
Current portion	The amount of principal scheduled to be repaid within the next twelve months.
Guarantor	A person who agrees to be personally responsible for the borrower's debt if the borrower does not pay.

Questions about your loan? Contact Commercial Loan Servicing at (800) 555-0188. Member FDIC. Equal Housing Lender.

Frequently Asked Questions and Contact Directory

How is my payment applied?

Each monthly payment is applied first to any accrued interest and then to the outstanding principal balance. As the principal balance declines over time, a larger share of each fixed payment is applied to principal.

Can I pay the loan off early?

Yes. You may prepay all or part of the balance at any time without penalty. A partial prepayment reduces principal and the total interest you will pay, but does not change the due date of future installments. Request a payoff quote from the servicer for the exact amount.

Why is the year-end balance different from the original amortization?

Small differences can arise from payment timing and rounding. The year-end statement reflects the actual balance after all payments posted during the year.

What does the personal guaranty mean for the guarantor?

The guarantor is personally responsible for repaying the loan if the borrowing corporation does not. The guaranty remains in effect until the loan is paid in full.

Where can I get my interest paid for taxes?

The interest paid during the year is shown on the Year-End Interest Statement in this package. Provide it to your tax preparer; interest on a business loan may be deductible by the borrowing corporation.

Contact Directory

Commercial Loan Servicing	(800) 555-0188 · Mon–Fri 8:00 a.m.–6:00 p.m. PT
Payments by mail	Pacific Crest Community Bank, P.O. Box 4400, San Jose, CA 95150
Payoff and account requests	commercialloans@pacificc restcb.com
Branch — San Jose Tully Road	1820 Tully Road, San Jose, CA 95122

Please retain this year-end statement with your business records. Thank you for banking with Pacific Crest Community Bank.

Payment Allocation, Interest Accrual, and Important Reminders

How interest accrues. Interest accrues daily on the unpaid principal balance at the fixed annual rate of 6.50%, computed on the basis of the actual number of days elapsed over a 360-day year. The amount of interest in each monthly payment depends on the principal balance and the number of days since the prior payment.

How payments are applied. Each scheduled monthly payment of \$782.65 is applied first to any accrued and unpaid interest, then to the principal balance. As principal declines over the life of the loan, the interest portion of each payment decreases and the principal portion increases.

Effect of payment timing. If a payment is received earlier or later than its scheduled date, the interest portion may differ slightly from the original amortization schedule because interest accrues for the actual number of days. Over the life of the loan these small differences offset.

Prepayments. A prepayment is applied entirely to principal and reduces the total interest paid over the remaining term. Prepayment does not change the due date or the amount of the next scheduled payment unless the loan is paid in full. Request a payoff quote for the exact amount needed to satisfy the loan on a given date.

Maturity. The loan matures on June 1, 2028. The final payment may differ slightly from \$782.65 to fully retire the remaining balance and accrued interest.

Year-end tax information. The interest paid during the calendar year, shown on the Year-End Interest Statement in this package, is the amount that may be deductible by the borrowing corporation as a business expense. Principal payments are not deductible. Consult your tax advisor.

Recordkeeping. Retain this statement and the amortization schedule with your business records. Statements are also available through online banking for the most recent 24 months.

This statement is provided for informational purposes. In the event of any discrepancy between this summary and the loan agreement and promissory note, the loan documents control.

Promissory Note (Copy on File)

PROMISSORY NOTE. \$40,000.00. San Jose, California. Dated July 1, 2023.

FOR VALUE RECEIVED, the undersigned, Jade Lotus Nail Spa, Inc., a California corporation ("Borrower"), promises to pay to the order of Pacific Crest Community Bank ("Lender") the principal sum of Forty Thousand and 00/100 Dollars (\$40,000.00), together with interest on the unpaid principal balance from the date of this Note until paid in full.

INTEREST. Interest shall accrue on the unpaid principal balance at the fixed rate of 6.50% per annum, computed on the basis of the actual number of days elapsed and a 360-day year.

PAYMENTS. Borrower shall pay this Note in 60 consecutive monthly installments of \$782.65 each, due on the first day of each month commencing August 1, 2023, with all remaining principal and accrued interest due at maturity on June 1, 2028. Each payment shall be applied first to accrued interest and then to principal.

PREPAYMENT. Borrower may prepay this Note in whole or in part at any time without penalty. Partial prepayments shall be applied to principal in inverse order of maturity and shall not postpone the due date of subsequent installments.

LATE CHARGE. If any installment is more than ten (10) days past due, Borrower shall pay a late charge equal to five percent (5%) of the overdue installment or \$25.00, whichever is greater.

DEFAULT; ACCELERATION. Upon the occurrence of any event of default, Lender may, at its option and without notice or demand, declare the entire unpaid principal balance and all accrued interest immediately due and payable.

WAIVER. Borrower and all endorsers, sureties, and guarantors waive presentment, demand, protest, and notice of dishonor and of nonpayment, and consent to extensions of time and other indulgences without notice.

SECURITY. This Note is secured by a Commercial Security Agreement of even date and is guaranteed by the Continuing Personal Guaranty of Mai-Linh Tran. GOVERNING LAW. This Note is governed by the laws of the State of California.

Commercial Security Agreement (Material Terms)

GRANT OF SECURITY INTEREST. Borrower grants to Lender a security interest in the Collateral described below to secure payment and performance of all obligations under the Note and related loan documents.

COLLATERAL. All equipment, fixtures, and furnishings now owned or hereafter acquired and financed with the loan proceeds, including the items identified in the Collateral and Equipment schedule, together with all attachments, accessions, replacement parts, and proceeds (including insurance proceeds) thereof.

BORROWER'S REPRESENTATIONS. Borrower represents that it is the owner of the Collateral free of all liens except the security interest granted to Lender, that the Collateral is located at the Borrower's three business premises in San Jose, California, and that Borrower will not sell or encumber the Collateral outside the ordinary course of business without Lender's prior written consent.

MAINTENANCE AND INSURANCE. Borrower shall keep the Collateral in good repair and insured against loss as described in the Insurance Requirements, naming Lender as loss payee.

PERFECTION. Borrower authorizes Lender to file financing statements describing the Collateral. RIGHTS ON DEFAULT. Upon default, Lender shall have all rights and remedies of a secured party under the California Uniform Commercial Code, including the right to take possession of and dispose of the Collateral and apply the proceeds to the obligations.

UCC-1 Financing Statement (Summary of Filing on Record)

Debtor	Jade Lotus Nail Spa, Inc.
Debtor address	1885 Tully Road, Suite 120, San Jose, CA 95122
Secured party	Pacific Crest Community Bank, P.O. Box 4400, San Jose, CA 95150
Filing office	California Secretary of State
Collateral covered	Equipment, fixtures and furnishings financed by Lender, and proceeds
Filing type	Original financing statement (initial)
Status	Active; continuation due before lapse of the initial five-year period

The UCC-1 financing statement perfects the Lender's security interest in the Collateral. The filing remains effective for five years from the date of filing unless continued. The Borrower agrees to execute any continuation or amendment statements the Lender reasonably requests.

Insurance and Collateral Requirements

Property insurance. Borrower shall maintain property insurance on the financed Collateral for its full replacement value against loss by fire, theft, and other customary perils, with Lender named as lender's loss payee.

Liability insurance. Borrower shall maintain commercial general liability insurance with limits of not less than \$1,000,000 per occurrence and \$2,000,000 in the aggregate, naming Lender as an additional insured.

Evidence of coverage. Borrower shall furnish certificates of insurance to Lender at closing and upon each renewal, and shall provide at least 30 days' notice of cancellation or material change.

Force-placed insurance. If Borrower fails to maintain required insurance, Lender may, but is not obligated to, obtain insurance covering its interest and add the cost to the loan balance.

Borrower's Representations, Warranties, and Certifications

- Borrower is a corporation duly organized, validly existing, and in good standing under the laws of the State of California, and is qualified to do business and in good standing in each jurisdiction where required.
- The execution, delivery, and performance of the loan documents have been duly authorized by all necessary corporate action and do not violate Borrower's articles, bylaws, or any agreement or law binding on Borrower.
- The financial statements and information Borrower has furnished to Lender are true and correct in all material respects and fairly present Borrower's financial condition as of their dates.
- Borrower is not in default under any material agreement, and there is no litigation pending or threatened that would materially adversely affect Borrower's business or its ability to perform under the loan documents.
- Borrower has filed all required tax returns and paid all taxes due except those being contested in good faith, and is in compliance with all applicable laws and regulations, including the licensing requirements of the California Board of Barbering and Cosmetology and applicable environmental and employment laws.
- The proceeds of the loan have been used solely for the business purpose stated in the loan agreement and not for any personal, family, or household purpose.

Settlement Statement (Loan Closing — July 1, 2023)

Item	Amount
Loan principal advanced	40,000.00
Less: loan origination fee (1.0%)	(400.00)
Less: UCC filing fee	(25.00)
Less: documentation fee	(150.00)
Net proceeds disbursed to Borrower	39,425.00

The settlement statement reflects the amounts at loan closing. Origination and filing fees were deducted from the loan proceeds; the net proceeds were disbursed to the Borrower's operating account and used to purchase the financed equipment and fund leasehold improvements at the three salon locations. The amortization schedule in this package is based on the full \$40,000.00 original principal amount.